

VNET Group (VNET)

2Q26 Review: Retail Pricing Strength Cushions Wholesale Ramp Lag; Balance Sheet & Strategic Investment/Partnership in Focus; Buy

VNET

12m Price Target: **\$14.00**Price: **\$6.72**Upside: **108.3%**

Post 2Q26 results of VNET (see [First Take](#)), we see the sharp share price movement (~15% post results on Aug 18 vs. a flat S&P) primarily reflecting investor debates over the strong data center demand outlook that may driver higher capex and the company's ability to fund the capex. We will host management at our GS Asia Leaders Conference (during 31 Aug-2 Sep) and expect key investor questions focused around:

1) Industry supply/demand: China data center industry sees strong demand and especially demand for intelligent computing driven by AI training and inference. Some hyperscalers have placed GW-scale orders YTD, primarily focused on key hubs under the national strategy of "East Data, West Computing". We continue to take confidence from **rising hyperscaler's capex** (GSe of Alibaba/Tencent capex combined at US\$60bn/US\$70bn in 2026E/2027E), **robust order volume** (GDS/VNET 471MW/862MW order wins YTD and 600MW/355MW reservations YTD), and **expanding capacity reserve/secured resources** (GDS/VNET +330MW/+1.4GW to 5.8GW/3.5GW in 1H26 in China).

2) Capacity delivery and move-in: VNET's capacity delivery went above expected at 100MW in 2Q26 (vs. 18MW in 1Q26). We continue to model a **backloaded capacity delivery** of 333MW in 2H26E. Capacity move-in stayed slower at 57MW in 2Q26 (vs. 64MW in 1Q26), primarily at N-OR 01/02 campus in Ulanqab and N-HB03 campus in Hebei, likely attributable to tighter chip availability; meanwhile we expect improved chips supply in 2H26E to drive the move-in pace. We expect a larger portion of the capacity delivery to translate to utilized capacity/wholesale IDC revenue in 2H26E-1H27E (GSe net addition of capacity utilized at 167MW/212MW in 2H26E/1H27E).

3) Balance sheet strength and financing optionality: We model c.Rmb20bn capex in 2026E-27E to deliver c.450MW each. As of

 **BUY**
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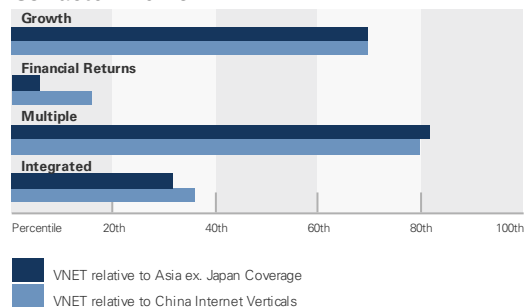
Key Data

Market cap: \$1.8bn
Enterprise value: \$5.2bn
3m ADTV: \$46.5mn
China
China Internet Verticals
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	9,949.3	11,509.8	13,690.5	15,844.0
Revenue (Rmb mn) Old	9,949.3	11,523.1	13,537.0	15,579.5
EBITDA (Rmb mn)	2,978.2	3,676.1	4,618.6	5,458.3
EPS (Rmb) New	(0.98)	(9.76)	(0.92)	(2.62)
EPS (Rmb) Old	(0.98)	(8.76)	(0.72)	(0.20)
P/E (X)	NM	NM	NM	NM
P/B (X)	2.0	1.4	1.6	2.5
Dividend yield (%)	0.0	0.0	0.0	0.0
CROCI (%)	8.2	5.6	8.5	8.0
	3/26	6/26	9/26E	12/26E
EPS (Rmb)	(8.13)	(0.51)	(0.76)	(0.68)

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

VNET Group (VNET)

Rating since Nov 28, 2024

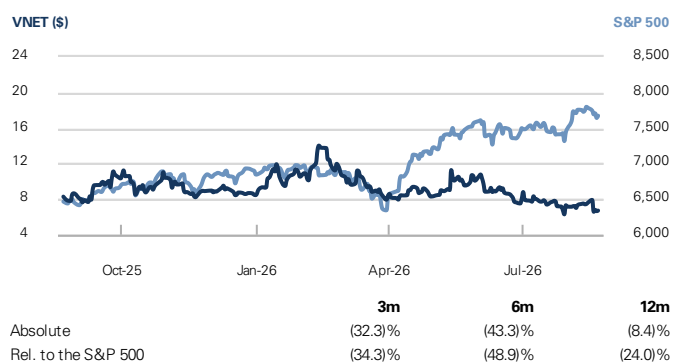
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	NM	NM	NM	NM
P/B (X)	2.0	1.4	1.6	2.5
FCF yield (%)	(34.7)	(63.0)	(44.7)	(14.7)
EV/EBITDAR (X)	10.4	9.6	9.2	8.6
EV/EBITDA (excl. leases) (X)	10.4	9.6	9.2	8.6
CROCI (%)	8.2	5.6	8.5	8.0
ROE (%)	(3.7)	(32.9)	(3.1)	(11.3)
Net debt/equity (%)	168.4	221.1	296.6	475.5
Net debt/equity (excl. leases) (%)	168.4	221.1	296.6	475.5
Interest cover (X)	1.3	0.9	1.0	1.0
Days inventory outst, sales	—	—	—	—
Receivable days	71.1	80.7	84.8	59.0
Days payable outstanding	46.2	41.8	40.2	28.5
DuPont ROE (%)	(3.1)	(28.2)	(2.8)	(10.9)
Turnover (X)	0.2	0.2	0.2	0.3
Leverage (X)	5.2	5.2	6.2	8.5
Gross cash invested (ex cash) (Rmb)	35,369.7	47,782.8	57,730.3	63,709.7
Average capital employed (Rmb)	20,046.8	27,263.4	34,571.1	38,518.5
BVPS (Rmb)	29.44	31.35	28.68	17.93

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	20.5	15.7	18.9	15.7
EBITDA growth	22.6	23.4	25.6	18.2
EPS growth	(249.7)	(896.8)	90.6	(184.6)
DPS growth	NM	NM	NM	NM
EBIT margin	8.1	7.5	8.7	9.4
EBITDA margin	29.9	31.9	33.7	34.5
Net income margin	(2.6)	(24.0)	(1.9)	(4.7)

Price Performance



Source: FactSet. Price as of 21 Aug 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	9,949.3	11,509.8	13,690.5	15,844.0
Cost of goods sold	(5,731.2)	(6,658.0)	(7,871.6)	(9,014.7)
SG&A	(1,076.1)	(945.4)	(1,038.2)	(1,109.9)
R&D	(261.1)	(316.4)	(361.3)	(384.6)
Other operating inc./exp.)	(2,074.8)	(2,726.5)	(3,222.8)	(3,849.9)
EBITDA	2,978.2	3,676.1	4,618.6	5,458.3
Depreciation & amortization	(2,172.1)	(2,812.7)	(3,421.9)	(3,973.4)
EBIT	806.1	863.4	1,196.7	1,484.9
Net interest inc./exp.)	(561.3)	(869.4)	(1,132.7)	(1,407.3)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	417.2	(30.3)	37.8	47.3
Provision for taxes	(557.5)	(637.8)	(299.2)	(371.2)
Minority interest	(123.4)	(2,099.4)	0.0	(419.7)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	(263.7)	(2,767.5)	(261.3)	(743.6)
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	(263.7)	(2,767.5)	(261.3)	(743.6)
EPS (basic, pre-exception) (Rmb)	(0.98)	(9.76)	(0.92)	(2.62)
EPS (diluted, pre-exception) (Rmb)	(0.90)	(9.76)	(0.92)	(2.62)
EPS (basic, post-exception) (Rmb)	(0.98)	(9.76)	(0.92)	(2.62)
EPS (diluted, post-exception) (Rmb)	(0.90)	(9.76)	(0.92)	(2.62)
DPS (Rmb)	—	—	—	—
Div. payout ratio (%)	0.0	0.0	0.0	0.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	5,523.6	3,703.8	4,794.3	2,340.3
Accounts receivable	2,222.1	2,869.2	3,495.4	1,624.9
Inventory	—	—	—	—
Other current assets	2,648.9	2,907.3	2,907.3	2,907.3
Total current assets	11,451.9	9,974.0	11,697.0	7,366.2
Net PP&E	22,775.6	30,208.2	36,400.3	39,904.2
Net intangibles	2,004.7	3,107.2	2,985.3	2,857.9
Total investments	1,062.7	1,004.9	1,004.9	1,004.9
Other long-term assets	7,299.3	7,114.6	7,114.6	7,114.6
Total assets	44,594.2	51,408.9	59,195.7	58,247.8
Accounts payable	741.9	782.0	952.6	452.8
Short-term debt	3,231.7	4,180.3	4,180.3	4,180.3
Short-term lease liabilities	—	—	—	—
Other current liabilities	8,115.6	7,856.7	7,856.7	7,856.7
Total current liabilities	12,447.2	13,144.7	13,315.3	12,815.5
Long-term debt	16,718.3	21,238.9	28,738.9	30,738.9
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	5,220.4	5,541.3	5,996.4	6,178.1
Total long-term liabilities	23,582.5	28,443.9	36,399.0	38,580.7
Total liabilities	36,029.7	41,588.6	49,714.3	51,396.1
Preferred shares	—	—	—	—
Total common equity	7,930.0	8,893.0	8,134.4	5,084.9
Minority interest	634.4	927.3	1,347.0	1,766.7
Total liabilities & equity	44,594.2	51,408.9	59,195.7	58,247.8
Net debt, adjusted	14,426.5	21,715.5	28,125.0	32,579.0

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	(263.7)	(2,767.5)	(261.3)	(743.6)
D&A add-back	2,172.1	2,812.7	3,421.9	3,973.4
Minority interest add-back	123.4	2,099.4	0.0	419.7
Net (inc)/dec working capital	(533.5)	(607.0)	(455.5)	1,370.6
Other operating cash flow	420.2	(51.6)	455.0	181.7
Cash flow from operations	1,918.6	1,485.9	3,160.1	5,201.8
Capital expenditures	(7,656.6)	(10,146.2)	(9,492.0)	(7,350.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(355.0)	75.0	—	0.0
Cash flow from investing	(8,011.6)	(10,071.2)	(9,492.0)	(7,350.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	—	—	—	—
Inc/(dec) in debt	8,536.8	5,456.8	7,500.0	2,000.0
Other financing cash flows	1,587.4	1,308.6	(77.6)	(2,305.8)
Cash flow from financing	10,124.2	6,765.5	7,422.4	(305.8)
Total cash flow	4,031.1	(1,819.8)	1,090.5	(2,454.0)
Free cash flow	(5,738.1)	(8,660.3)	(6,331.9)	(2,148.2)

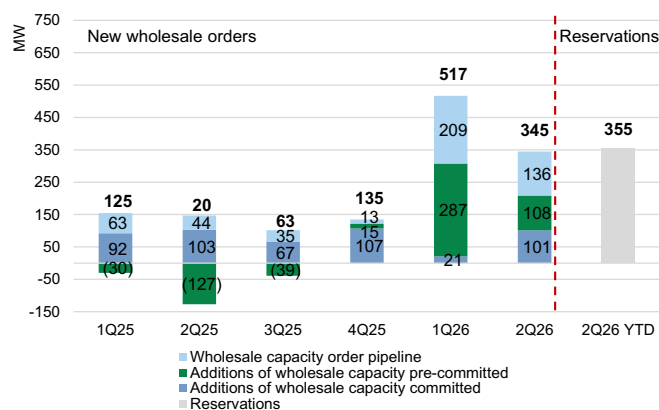
Source: Company data, Goldman Sachs Research estimates.

late, VNET held Rmb7.2bn cash and cash equivalents and restricted cash, and Rmb23.4bn total debt (Rmb2bn/Rmb5bn due in 2026E/27E, including US\$270mn from 2027 Convertible Notes due in Oct 2027). Net debt/LQA adj. EBITDA ratio increasing qoq to 4.6x (vs. 3.8x as of 1Q26). Based on VNET's historical financing activities, potential financing channels (and activities to aid liquidity) could include i) refinancing for CB, ii) project level financing including project loan, mezzanine debt etc., iii) private REITs with 13-14x EV/EBITDA multiples based on the company's past REIT transactions in 4Q25-1Q26; iv) others including additional debt/equity financing and related-party loans. We note the company typically tries to avoid options that have limited imminent dilution risk, execution or visibility in secure financing including the **completion of the strategic investments from Lochpine Capital (a non-controlled affiliate of CATL)** remains a key investor focus.

4) Strategic collaboration with CATL: VNET and CATL (300750.SZ/3750.HK, Covered by Nick Zheng) announced plans to establish a partnership to deepen compute-energy integration with the goal of shaping next generation digital energy infrastructure globally, via a three-layer integrated compute-energy ecosystem comprising i) GW-scale compute-energy facilities, ii) distributed compute-energy networks, and iii) a zero-carbon token ecosystem. As we wrote in our industry note on Ulanqab, data center operators are transforming from "IDC pure-plays" to "IDC operations + green power asset management". VNET could collaborate with CATL to take on roles as green power asset managers, i.e. optimizing renewable energy procurement, managing on-site generation, and hedging against power market volatility to **secure low-cost, sustainable electricity**.

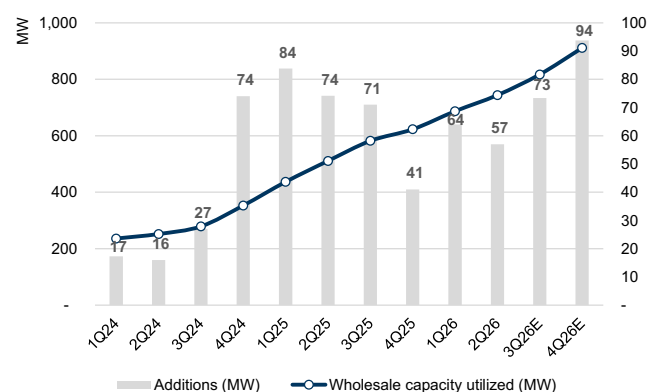
Forecast changes and valuation: Reflecting VNET's 2Q26 results, we adjust our 2026E-28E revenue by 0-2% and keep 2026E-28E adj. EBITDA largely unchanged (-1% to 1%). Specifically, we keep wholesale IDC revenue in 2026E-28E largely unchanged and raise retail IDC revenue in 2026E-28E by 2-4%. Our 12m EV/EBITDA-based TP is revised to **US\$14.0** (vs. US\$16 prior), primarily on a lower target 12m-fwd EV/EBITDA multiple of 10.5x applied to 2027E EBITDA (vs. 12x prior) as we benchmark to median 12m-fwd EV/EBITDA over the past year. **Maintain Buy.**

Exhibit 1: VNET secured 345MW new wholesale orders in 2Q26, including 101MW additions of wholesale capacity committed, 108MW additions of wholesale capacity pre-committed, and 136MW of wholesale capacity order pipeline, while holding 355MW reservations as of 2Q26
VNET new wholesale orders breakdown



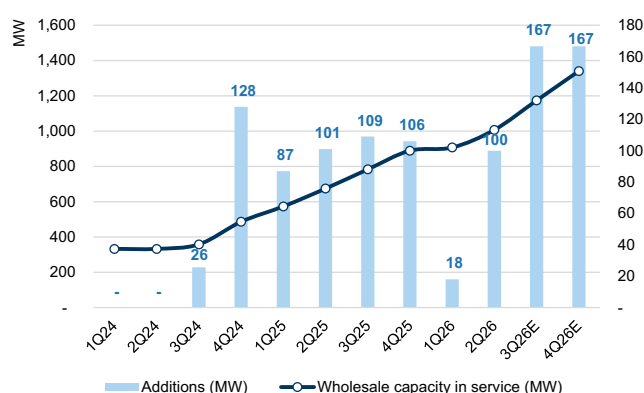
Source: Company data

Exhibit 3:as well as backloaded additions of capacity utilized



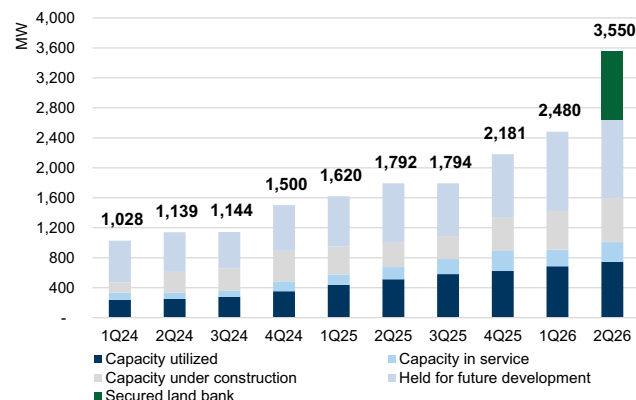
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We model backloaded additions of capacity in service in 2026E



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: VNET's total wholesale capacity including held for future development and domestic secured land bank reached 3.55GW in 2Q26, steadily increasing since 1Q24
VNET's total wholesale capacity in China (MW)



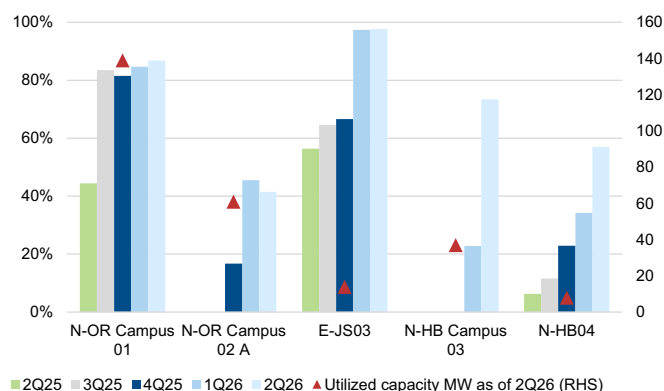
1. Secured Land Bank refers to capacity with secured power quotas, as well as the resources earmarked by local governments specifically for future development; 2. Overseas secured land bank not included.

Source: Company data

Order volume and capacity updates by campus

Exhibit 5: Several campuses saw a rapid utilization ramp-up in 2Q26, especially N-HB Campus 03 and N-HB 04

Utilization rates and utilized capacity for selected campuses (2Q26)



Source: Company data

Exhibit 6: VNET has robust wholesale order volume driven by diversified customer demand, including internet services, cloud services, intelligent driving and IT services
 VNET's selected wholesale orders since 2Q24

Region	IDC code	Capacity contracted (MW)	Signing time of contract	Customer sector
Greater Beijing Area	N-OR Campus 03	345	2Q26	Cloud Services
Greater Beijing Area	N-OR Campus 02	110	Jan-May 26	Internet
Greater Beijing Area	N-OR Campus 03	400	Jan-May 26	Internet
Greater Beijing Area	N-HB04	7	1Q26	Local Services
Greater Beijing Area	N-OR Campus 02A	56	4Q25	Cloud Services
Greater Beijing Area	N-OR Campus 03	25	4Q25	Intelligent Driving
Greater Beijing Area	N-HB Campus 03	11	4Q25	Internet
Yangtze River Delta	E-JS Campus 03B	12	4Q25	Internet
Yangtze River Delta	E-JS Campus 03B	32	4Q25	Internet
Greater Beijing Area	N-HB Campus 01A	3	3Q25	Intelligent Driving
Greater Beijing Area	JV Project	20	3Q25	Cloud Services
Greater Beijing Area	N-HB Campus 03	40	3Q25	Internet
Greater Beijing Area	JV Project	20	3Q25	Cloud Services
Greater Beijing Area	N-HB Campus 01	6	1Q25	Intelligent Driving
Greater Beijing Area	N-OR Campus 02	55	1Q25	Cloud Services
Greater Beijing Area	JV Project	64	1Q25	Internet
Yangtze River Delta	E-JS Campus 03	32	4Q24	Internet
Greater Beijing Area	N-OR07 & 08	100	4Q24	Internet
Greater Beijing Area	N-HB Campus 01	32	3Q24	Internet
Greater Beijing Area	N-HB03	14	3Q24	Internet
Greater Beijing Area	N-OR Campus 01	19	3Q24	IT Services
Greater Beijing Area	N-OR Campus 01	16	3Q24	IT Services
Greater Beijing Area	N-OR Campus 01	200	2Q24	Internet

Source: Company data

Exhibit 7: In 2Q26, VNET's c.100MW capacity delivery qoq mainly came from Ulanqab (+c.63MW qoq), Jiangsu (+c.32MW qoq) and Hebei (+c.4MW qoq), While c.57MW capacity move-in qoq mainly came from Hebei (+c.30MW qoq), Ulanqab (+c.21MW qoq) and Jiangsu (+c.4MW qoq)
VNET's wholesale IDC capacity qoq change

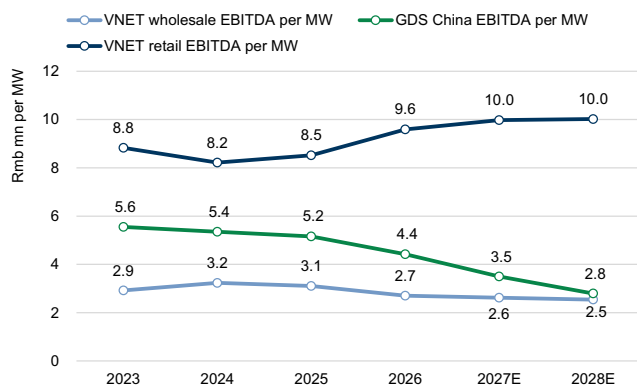
Region/ IDC Code	Tenure	In service	Utilized	Committed	Utilization rate	Commitment rate	Under construction	Pre- committed	Pre- commitment rate	Ready for Service	Held for Future	Total
Yangtze River Delta		343	282	343	82.2%	100.0%	12	12	100.0%		37	392
E-JS Campus 01 Phase 1	Owned	28	27	28	94.4%	100.0%						
E-JS Campus 01 Phase 2	Owned	16	13	16	81.9%	100.0%						
E-JS Campus 02 A	Owned	25	24	25	95.8%	100.0%						
E-JS Campus 02 B	Owned	24	24	24	100.0%	100.0%						
E-JS Campus 02 C	Owned	26	26	26	98.1%	100.0%						
E-JS Campus 02 D	Owned	26	26	26	99.9%	100.0%						
E-JS Campus 02 E	Owned	64	55	64	84.6%	100.0%						
E-JS Campus 03 A	Owned	32	29	32	91.6%	100.0%						
E-JS Campus 03 B	Owned	32	6	32	17.7%	100.0%	12	12	100.0%	2H26		
E-JS02 A	Leased	13	12	13	96.8%	100.0%						
E-JS02 B	Leased	13	13	13	97.3%	100.0%						
E-JS02 C	Leased	13	12	13	95.0%	100.0%						
E-JS03	Leased	15	14	15	97.7%	100.0%						
E-JS04	Leased	15	1	15	4.2%	100.0%						
Greater Beijing Area		664	462	627	69.6%	94.4%	573	539	94.1%		1,013	2,250
BJ15	Owned	9			0.0%	0.0%						
N-HB Campus 01 A	Owned	35	7	7	20.6%	20.6%						
N-HB Campus 01 B	Owned	36	32	36	88.7%	100.0%						
N-HB Campus 02	Owned						29		0.0%	1H27		
N-HB Campus 03	Owned	51	37	51	73.4%	100.0%						
N-HB02 Phase 1	Owned	28	27	28	96.9%	100.0%						
N-HB02 Phase 2	Leased	19	18	19	97.3%	100.0%						
N-HB03	Leased	12	10	12	89.3%	100.0%						
N-HB04	Leased	14	8	14	57.0%	100.0%	7	7	100.0%	2H26		
N-OR Campus 01	Owned	161	139	161	86.8%	100.0%						
N-OR Campus 02 A	Owned	146	61	146	41.5%	100.0%	79	74	94.1%	2H26		
N-OR Campus 02 B	Owned						65	65	100.0%	2H26		
N-OR Campus 03	Owned	25		25		100.0%	393	393	100.0%	2H26/1H27		
N-OR02	Leased	29	28	29	96.9%	100.0%						
N-OR04	Leased	14	14	14	95.9%	100.0%						
N-OR05	Leased	16	15	16	93.4%	100.0%						
N-OR06	Leased	32	31	32	95.8%	100.0%						
N-OR07 A	Leased	19	17	19	93.6%	100.0%						
N-OR08 A	Leased	19	17	19	92.4%	100.0%						
Total		1,007	744	970	73.9%	96.3%	585	551	94.2%		1,050	2,642
Owned		766	534	729	69.7%	95.2%						
Leased		242	211	242	87.1%	100.0%						
qoq change		100	57	101	-1.8pp	0.6pp	69	108	8.4pp		(6)	163

Green highlights imply qoq improvement/new capacity addition, while red highlights imply qoq decline.

Source: Company data

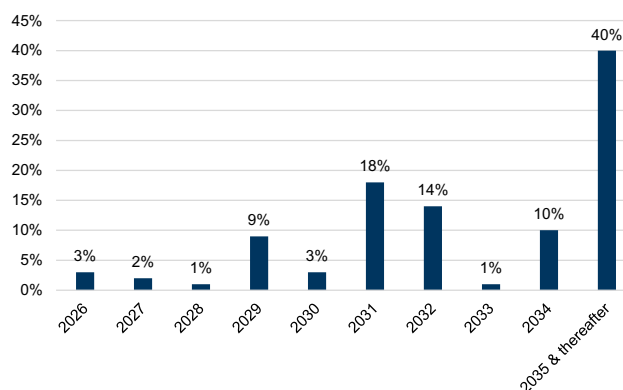
Financial summary

Exhibit 8: We model VNET's wholesale EBITDA/MW to converge with GDS China EBITDA/MW in 3-4 years
VNET vs. GDS EBITDA per MW



Source: Company data, Goldman Sachs Global Investment Research

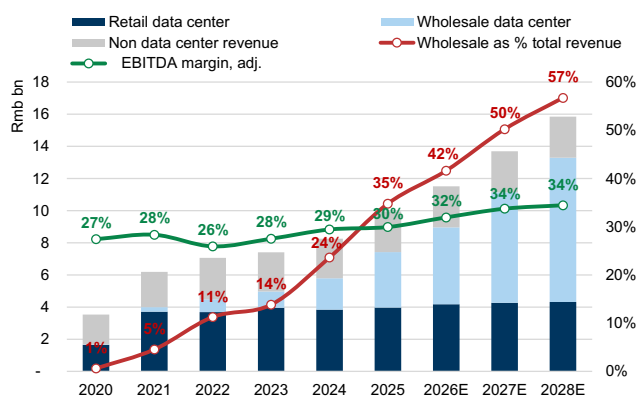
Exhibit 9: VNET's contracts have a weighted avg. remaining lease term of 7 years, with 83% of contracted capacity expiring in 2031 or later, which implies lower pricing risks on contract renewal
% distribution of remaining terms for contracted capacity



Source: Company data

Exhibit 10: We expect wholesale IDC to account for 57% of VNET's revenue by 2028E vs. 35% in 2025

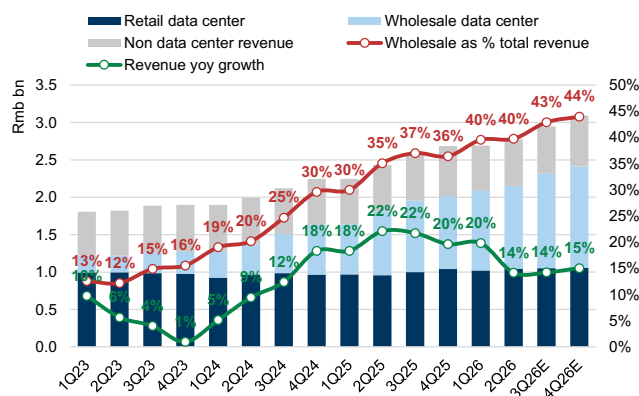
VNET revenue breakdown (Rmb bn)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: On a quarterly basis, we model 3Q26E revenue growth to remain steady at +14% yoy, same as 2Q26

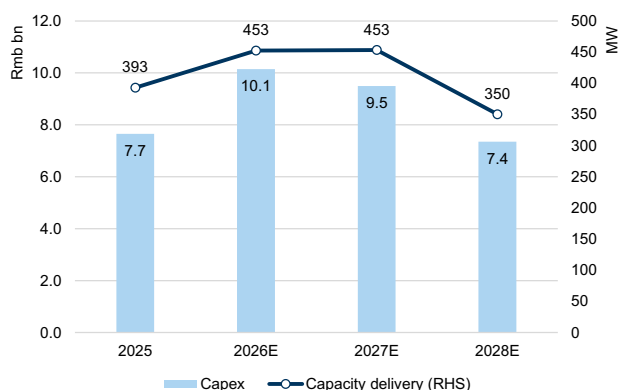
VNET quarterly revenue breakdown



Source: Company data, Goldman Sachs Global Investment Research

Capex and balance sheet implications
Exhibit 12: We forecast VNET's capex to reach Rmb10.1bn/Rmb9.5bn in 2026E/27E

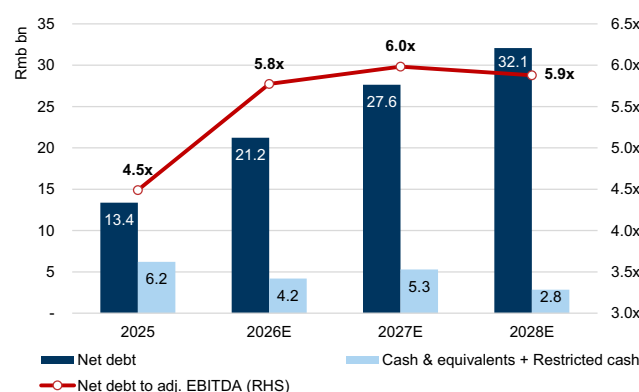
VNET capex (Rmb bn) and capacity delivery (MW)



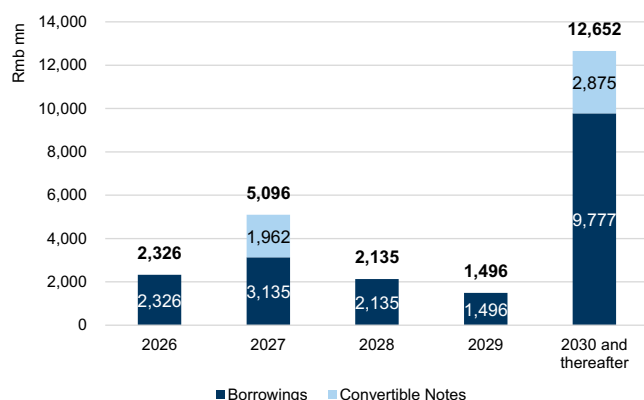
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: We expect net debt to adj. EBITDA to reach 5.8x/6.0x in 2026E/27E

VNET net debt, cash and net debt to adj. EBITDA



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 14: VNET debt breakdown by maturity


Source: Company data

Valuation

Exhibit 15: Our 12m target price for VNET is revised to US\$14.0

Rmb mn	2022	2023	2024	2025	2026E	2027E
Revenue	7,065	7,413	8,259	9,949	11,510	13,691
yoy	14%	5%	11%	20%	16%	19%
EBITDA, adj.	1,832	2,039	2,430	2,978	3,676	4,619
yoy	4%	11%	19%	23%	23%	26%
EBITDA margin	25.9%	27.5%	29.4%	29.9%	31.9%	33.7%
Target EV/EBITDA	26.5x	23.8x	20.0x	16.3x	13.2x	10.5x
Enterprise value 12m-fwd						48,496
Net debt	7,658	6,389	9,593	13,369	21,222	27,631
Net debt/EBITDA	4.2x	3.1x	3.9x	4.5x	5.8x	6.0x
Equity value 12m-fwd (Rmb mn)				27,274		
ADSs outstanding (mn)				284		
Dilutive impact from 2027 Convertible Notes				25		
Target price (US\$)				14.0		

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - VNET Group

VNET, China's leading carrier-neutral data center operator, derived c.75% of 2025 revenue from IDCs vs. c.25% from cloud computing and VAS. We see VNET transforming itself from a traditional retail IDC operator to a fast-growing wholesale IDC operator and entering a revenue/EBITDA growth acceleration phase over the next few years from intensifying AI investment, with wholesale IDC growing at 37-38% revenue/EBITDA CAGRs in 2025-28E. We believe rising wholesale IDC revenue/EBITDA contributions should lead to continued upward multiple re-rating and valuation compounding for VNET. We are Buy rated.

Price Target Risks and Methodology - VNET Group

We have a 12m target price of US\$14, based on a target 12m-fwd EV/EBITDA multiple of 10.5x applied to 2027E adj. EBITDA. Key risks: 1) inability to finance the growth objectives; 2) softer-than-expected execution on order wins; 3) geopolitical risks regarding AI; 4) further downturn of traditional businesses; 5) faster than or unexpected change in AI model training demand brought by the latest development in technology.

Disclosure Appendix

Reg AC

I, Timothy Zhao, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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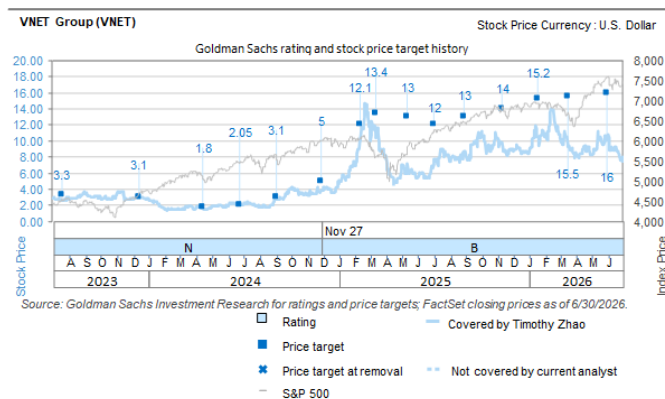
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Goldman Sachs Investment Research global Equity coverage universe

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Target price history table(s)

VNET Group (VNET)

Date of report	Target price (\$)	Closing price (\$)
30-May-26	16.00	10.08
16-Mar-26	15.50	9.53
18-Jan-26	15.20	10.56
11-Nov-25	14.00	9.79
29-Aug-25	13.00	8.66
04-Jul-25	12.00	7.75
12-May-25	13.00	7.23
12-Mar-25	13.40	11.00
11-Feb-25	12.10	9.97
27-Nov-24	5.00	3.86
03-Sep-24	3.10	2.71
25-Jun-24	2.05	2.24
15-Apr-24	1.80	1.58
14-Dec-23	3.10	2.94

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